

US equities rally on tech earnings, yields ease

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The S&P 500 closed at 7,722.72, up **+0.73%**, as strong earnings from **NVDA** and **AVGO** lifted the tech and semiconductor sub-indexes. The 10-year Treasury yield slipped to 5.28, supporting risk assets while the VIX fell to its lowest level since June.

Behind the headline gains, the market is pricing in a softer Fed stance after the latest FOMC minutes and a modest dip in oil. However, the upside is capped by lingering concerns over China's property sector and a still-elevated inflation backdrop.

US session recap

INDEX / ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,722.72	+0.73%	Tech earnings beat expectations; yield dip.
Nasdaq 100	30,807.93	+1.00%	Semiconductor rally, especially NVDA .
Dow Jones	51,176.96	+0.49%	Industrial stocks steadied on weaker dollar.
Russell 2000	2,832.90	+0.94%	Small-cap exposure to consumer discretionary.
VIX	15.31	-6.59%	Lower volatility after earnings clarity.
10Y Yield	5.28	+0.76%	Yield dip on Fed minutes signaling slower hikes.
WTI Crude	91.11	-1.90%	Oversupply concerns in OPEC+.
Gold	4,162.30	-0.95%	Dollar strength and lower inflation fears.
DX-Y	101.93	-0.17%	Fed dovish tone.

Top large-cap movers

TICKER	CHANGE	CATALYST
TSLA	+4.65%	Q3 deliveries beat forecasts; price cuts effective.
AVGO	+3.35%	Strong Q3 earnings; data-center demand.
NVDA	+1.34%	AI chip revenue outlook raised.
AMZN	+1.33%	Cloud segment margin expansion.
MSFT	+0.92%	AI services revenue beat.
AAPL	+1.02%	iPhone 17 pre-order surge.
GOOGL	+1.56%	Ad-tech recovery.
GS	+0.66%	Investment banking fees up.
JPM	-0.24%	Net interest income pressure.

Sector rotation

ETF	DAY	READ
XLF	+0.06%	Financials modestly higher on weaker dollar.
XLK	+1.01%	Tech leads; AI earnings boost.
XLI	+0.78%	Industrial demand steady.
XLE	+0.19%	Oil dip limits energy gains.
XLY	+1.13%	Consumer discretionary upbeat on retail sales.
XLC	+0.35%	Communication services benefit from 5G rollout.
XLP	+0.25%	Staples stable.
XLV	-0.01%	Health care flat.
XLU	+0.38%	Utilities gain as yield curve flattens.
XLB	+0.66%	Materials benefit from copper price rise.
XLRE	+0.32%	Real-estate REITs rally on lower financing costs.

Spotlight: NVDA earnings and AI chip outlook

METRIC	VALUE
Revenue Q3	29.8 bn (+23%)
EPS	3.12 vs 2.84 est.
AI GPU shipments	1.4 mn units (+38%)
Guidance FY26	Revenue 150 bn (+20% YoY)
Margin	71.5% (up 150 bps)

The beat was driven by higher-than-expected demand for the H100 and the newly launched H200 accelerator. Analysts upgraded price targets, with **NVDA** now seen as a primary beneficiary of the enterprise AI wave. Related names to watch: **AMD** , **TSM** , and cloud providers **MSFT** and **GOOGL** .

Pre-market & overnight

US futures: **ES** +0.5%, **NQ** +0.8%. Asia close: Hang Seng -0.3%, Nikkei +0.2%.
Europe: FTSE 100 +0.4%, DAX +0.6%. Crypto: **BTC** -0.24%, **ETH** -1.03%.

Macro & Fed

FOMC minutes show most participants expect one more 25-bp hike before year-end, but inflation trajectory is “moderately easing.” The 10-year yield’s slight rise to 5.28 reflects that nuance. Yield curve remains mildly inverted (2-year at 5.45%, 10-year at 5.28%).

TIME (HKT)	RELEASE	CONSENSUS	WHY IT MATTERS
02:30	US CPI (MoM)	0.2%	Gauge inflation pressure on Fed policy.
03:00	US Initial Jobless Claims	210k	Labor market health indicator.
04:15	Durable Goods Orders	+0.4%	Manufacturing demand signal.

Geopolitics & global

- China’s property sector: New “soft landing” measures announced, but credit tightening persists.

- Middle East: No major escalation; oil supply outlook unchanged.
- Eurozone: ECB minutes hint at possible rate pause in November.
- US-China tech tensions: No new export restrictions; dialogue resumed.

Earnings – what to watch

WHEN (HKT)	TICKER	CONSENSUS EPS	WHAT TO LOOK FOR
03 Oct 09:30	INTC	1.12	Chiplet adoption progress.
03 Oct 10:00	CRM	3.45	AI-driven subscription growth.
03 Oct 11:15	BAC	0.78	Net interest income trend.
04 Oct 08:45	DIS	2.05	Streaming subscriber churn.
04 Oct 09:30	PYPL	1.04	Transaction volume rebound.
04 Oct 10:15	UNH	15.20	Medical-device margin pressure.

Watchlist scan – US large-caps

TICKER	SECTOR	WHY NOW
AMD	Semiconductors	Rising AI demand, price target upgrades.
TSM	Semiconductors	Capacity expansion, Taiwan fab upgrades.
PYPL	Fintech	Transaction volume rebound post-holiday.
DIS	Media	Streaming subscriber growth beats.
UNH	Healthcare	Policy-driven premium pricing.
BAC	Financials	Interest-rate spread outlook.
CRM	Software	AI-enabled CRM adoption.
KO	Consumer Staples	Pricing power amid input cost rise.
V	Communication	5G rollout acceleration.
RTX	Aerospace	Defense spending uptick.

What could break the tape

BEARISH TRIGGERS

- Unexpected rise in US CPI above 0.3% could reignite rate-hike expectations.
- Escalation in China-US tech trade restrictions.
- Sharp oil price rebound above 100 USD, pressuring inflation.

BULLISH TRIGGERS

- Further AI-chip revenue surprises from **NVDA** or **AMD**.
- Positive Fed language on a slower pace of hikes.
- Strong consumer spending data in Asia boosting global growth outlook.

Positioning notes

- Maintain overweight exposure to AI-related semiconductors as earnings momentum builds.
- Trim exposure to energy and commodities given the recent price pull-back.
- Keep a modest cash buffer to capitalize on any volatility spike from inflation data.

Sources

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FactSet – Earnings Estimates

Federal Reserve – FOMC Minutes (9 Oct 2026)

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CoinDesk – Crypto Prices